Europe are still featured prominently, European international financial centers are declining, while North American and Asian financial centers are rising, underscoring the other results reported in this chapter. By comparison, BRICS financial center cities, except for Moscow, are either stable or rising. Russia dropped five places from 2013 to 2014, reflecting the negative impacts from international sanctions and monetary and financial volatility.

This section has argued that the major advanced industrial countries, especially the United States, remain dominant in quantifiable financial and monetary indicators, at least according to the major publicly available data sources, the timeliness of whose numbers unfortunately lags that of proprietary financial data sets by several years. There are reasons to suggest that this scenario may change in the future. The chapter's fifth major section, next, shifts to considering very recent evidence about gains being made by China's RMB (also known as the *yuan* and the redback).

REDBACK RISING

Although economists debate whether the RMB is destined to be a leading regional or global currency, there is no doubt from multiple indicators that, to quote Steven Liao and Daniel McDowell, the "redback is rising."[139] The internationalization of the RMB is a combined process of a naturally forming market and Chinese government policies, or what Liao and McDowell term a progression that involves both "supply and demand."[140] This evolution first includes the use of the RMB as a trade currency. The RMB is now the third-most-used trade invoice currency, reflecting the notion that demand should correlate with the largest share of global output, tradable goods, and assets.[141] Second, China has generated the means for investment exchange to take place by introducing currency swap lines and developing the offshore market. Third, until recently, China had been releasing controls on both inward and outward investment flows as a means to begin aligning onshore and offshore markets and open up the capital account. Although the RMB is now convertible on the current account, the trend toward relaxed controls on the capital account has been reversed, at least temporarily, to prevent Chinese residents and companies from sending money out of country, accelerating a decline in the dollar-value of the RMB since 2014.[142]

China is now the world's second-largest economy (and its largest in PPP terms) and the dominant trading nation, with volumes of about $4 trillion in imports/exports. China also provides increasing amounts of outbound foreign direct investment (OFDI), and is using its expanding trade and monetary strength to integrate the RMB into the global financial system. By the end of 2015, about 30 percent of China's trade was settled in RMB, up from 8 percent in 2012 and zero in 2010. In addition to its use in cross-border trade and financing, the RMB was in fifth place among all currencies for use in international payments and foreign exchange trading.[143] In 2015, HSBC estimated that the use of RMB as a trade payments currency would soar to over 50 percent of China's total trade by 2020.[144] About 60 percent of China's OFDI is now denominated in RMB, up from 15 percent in 2013; and in 2014, China's OFDI surpassed its inbound nonfinancial FDI. Some experts even forecast that by 2020, China may rise to become one of the largest global cross-border investors, with offshore assets tripling from $6.4 trillion to almost $20 trillion.[145]

The RMB's role as a payment currency was increasing for clearance and settlement of cross-border financial transactions, but downward pressure on the RMB and tightening capital controls have taken a toll. According to statistics from the Society for Worldwide Interbank Financial Telecommunication (SWIFT), the RMB overtook the yen during 2015 to reach the fourth spot among the world's most used payment currencies. Subsequently, the RMB and the yen fell back to fifth and sixth place, respectively, just behind the Canadian dollar, with a share of 1.9 percent. As recently as 2011, SWIFT had ranked the RMB only seventeenth in its table of world currencies. Nonetheless, recent real increases were notable, not just in Asia, where the RMB has made inroads as a payments currency, but also in Europe, where Germany's usage rose by 151 percent and Sweden's by 1,050 percent between mid-2013 and January 2015, though the euro still ranks ten times higher.[146]

China has made significant investments around the world, including in the G7 countries, such as the United States, where annual Chinese FDI tripled in 2016 to $46 billion, often through M&A of existing firms.[147] Yet China has not lost its principal focus on Asia, recently through the OBOR initiative where the use of the RMB is higher, reflecting China's dual ambitions of becoming the leading economy in Asia, as well as a global maritime power.[148] Whether these snapshots of a moving target are just the tip of the iceberg is difficult to know. There is still a large gap between the RMB, accounting in August 2015 at a high of 2.79 percent of global payments, and other major currencies, with the U.S. dollar accounting for 44.8 percent and the euro for 27.2 percent.

Eventually, such developments could diminish the dominance of the U.S. dollar, particularly in two of the three important functions of money: as a medium of exchange and a unit of account. For example, the U.S. dollar is used for 43 percent of cross-border payments on the SWIFT network and 86 percent of trade finance, even though the